23 Raya buys a van for £8500 plus VAT at 20%

Raya pays a deposit for the van.
She then pays the rest of the cost in 12 equal payments of £531.25 each month.

Find the ratio of the deposit Raya pays to the total of the 12 equal payments.
Give your answer in its simplest form.

Pct = percentage; GBP = pounds.

Pct	GBP
100	8500
÷10 ↓ 10	↓ ÷10 850
×2 ↓ 20	↓ ×2 1700

VAT = £1700

Full price = 8500 + 1700 = £10200

1 mark
Find the price including VAT

12 payments: 12 × 531.25 = £6375

1 mark
Calculate the total of the monthly payments

Deposit: 10200 – 6375 = £3825

1 mark
Subtract payments from the full price

D = deposit; P = total payments.

D	P
3825	6375
÷1275 ↓ 3	↓ ÷1275 5

1 mark
Write the deposit : payments ratio

Deposit : payments = 3 : 5

1 mark
Simplify both quantities by 1275

3 : 5

(Total for Question 23 is 5 marks)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA